

bear market is over, and not without reason, as it will engender severe global tensions and armed conflict. Nevertheless, while there will be areas of horrible devastation, the entire world will not end up "On the Beach." Whatever occurs, and whatever fears permeate the globe, we will *know* this to be so, and that, comparatively speaking, is quite a comfort.

Happily also for analytical purposes, we have a firm basis now for forecasting the *extent*, *pattern* and *duration* of the coming bear.

EXTENT OF THE BEAR MARKET

Whether forecasting at the Subminuette or Grand Supercycle degree, the most reliable support area for a correction is the area of the preceding fourth wave of one lesser degree. This is particularly true when the correction *itself* is a fourth wave, as this one will be. If you examine Figure 2-5 closely, you will see, for instance, that the low for wave II occurred in the price territory of wave ④ of I. Similarly, the low for wave IV occurred in the price territory of wave ④ of III.

Using this approach, Chapter 8 of *Elliott Wave Principle* telegraphed our general expectations with respect to targeting the bear market that would ultimately *follow* wave (V):

If our scenario proves correct, a new Grand Supercycle will get underway once the current Supercycle (V) has terminated. Eventually, the Grand Supercycle bear should carry to its expected target within the range of the previous Supercycle fourth wave, between **41** and **381** on the Dow. The best efforts of the leaders of the financial community [will] not stem the panic once the tides of emotion [take] control. Situations of this nature that have happened over the last two hundred years usually have been followed by three or four years of chaotic conditions in the economy and the markets.

This long-standing forecast is no longer something for a future time. Rather, it is the expected range for the low of the bear market we now face. If the current bear market is of Grand Supercycle degree, prices *will* fall to this area.

Potential Support Levels

Specific downside targets for the Supercycle degree lows within the bear market will be reliably provided only by assessing the rela-